

Technical Analysis Course Deck

How to read yearly, weekly, and daily charts for trend, support/resistance, moving averages, volume, and momentum.

Purpose

Use charts to organize risk and timing, not to predict the future perfectly.

Best use

Long-term trend context first, then weekly setup, then daily entry.

Rule

Every chart idea needs an invalidation level and position-size plan.

Technical Analysis Is a Map

A chart is not a crystal ball. It is a tool for structure.

Charts help identify trend, possible buying/selling zones, and risk levels.

- The same pattern can fail. That is why stops, sizing, and invalidation matter.
- Use higher timeframes to define direction, then lower timeframes for timing.
- For long-term investing, technical analysis should support fundamentals, not replace them.

The Three-Timeframe Method

Start big, then zoom in.

Yearly/monthly chart: secular direction and major market cycles.

- Weekly chart: primary trend, base patterns, and major support/resistance.
- Daily chart: entry timing, pullbacks, breakouts, and stop placement.
- If the yearly and weekly trend disagree, reduce size or wait for clarity.
-

TREND

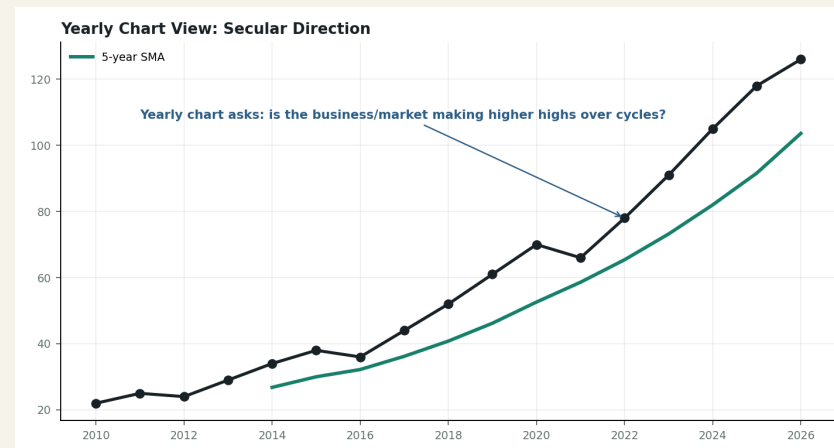
Part 1: Trend

Long-term trend tells you whether the wind is at your back.

How to Check the Yearly Chart

The yearly chart removes noise and shows the big picture.

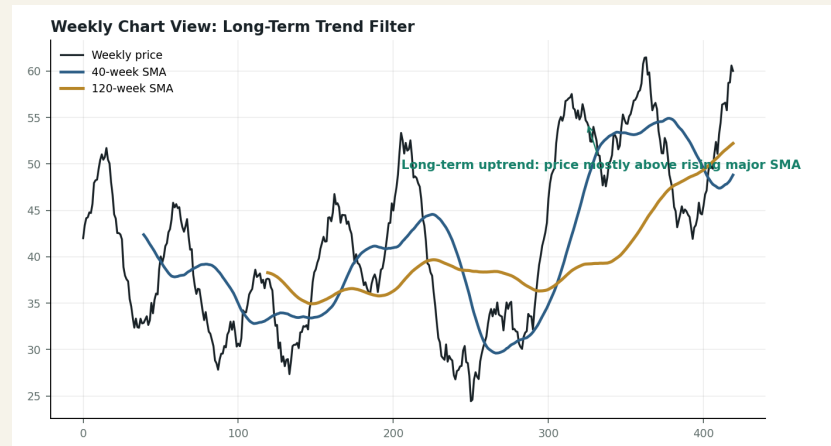
- Look for higher highs and higher lows across several years.
- Compare price to a multi-year moving average, such as a 5-year SMA.
- Notice whether corrections recover quickly or break prior cycle lows.
- Use it for context, not exact entries.
-



How to Check the Weekly Chart

The weekly chart is often the most useful long-term trading view.

- A healthy long-term uptrend often holds above a rising 40-week or 50-week SMA.
- A flattening or falling major SMA says momentum may be changing.
- Weekly support/resistance levels are more important than noisy daily levels.
- Long-term investors can use weekly pullbacks to avoid emotional entries.



Trend Reading Checklist

Use this before looking for indicators.

Direction

Are highs and lows rising, falling, or sideways?

Slope

Are major moving averages rising or falling?

Location

Is price above or below the main trend average?

Age

Is the trend early, mature, or extended?

Damage

Did price break an important prior low?

Context

Does the sector or market confirm the trend?

LEVELS

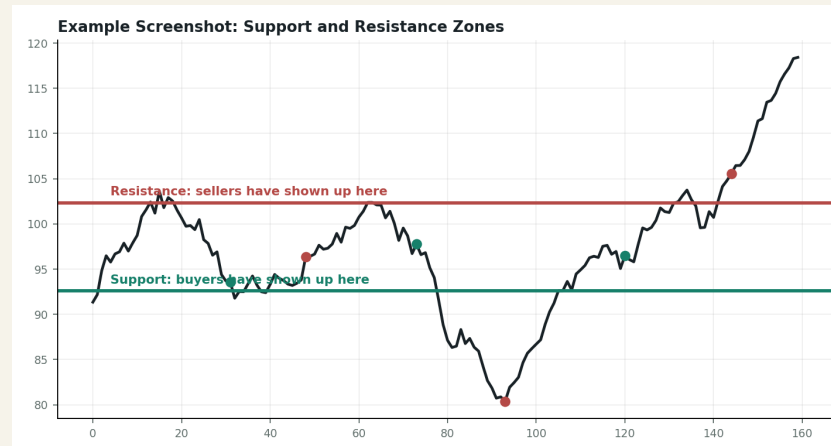
Part 2: Support and Resistance

These zones help define where risk and reward may change.

Support and Resistance

Think zones, not perfect lines.

- Support is an area where buyers previously appeared.
- Resistance is an area where sellers previously appeared.
- The more visible the level, the more traders may react to it.
- A broken resistance level can become support; broken support can become resistance.



How to Draw Levels

Keep it simple and visible.

Use the weekly chart first, then refine on the daily chart.

- Mark obvious swing highs, swing lows, and gap zones.
- Prefer zones that were tested multiple times or caused strong reversals.
- Do not clutter the chart. Three to five major levels is usually enough.
-

Breakout vs. Pullback

Two common ways traders use levels.

Breakout: price pushes above resistance, ideally with strong volume.

- Pullback: price returns to support or a moving average after an uptrend.
- False breakout: price moves through a level, then quickly falls back below it.
- A setup is incomplete without a stop and a risk/reward estimate.
-

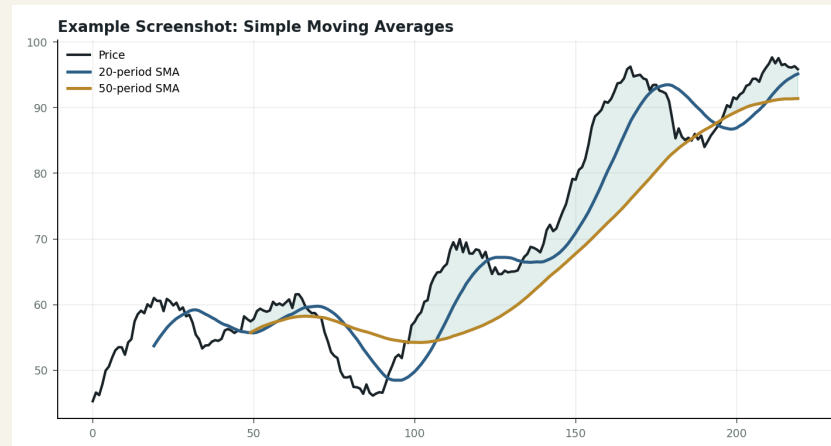
Part 3: Moving Averages

Moving averages smooth noise and reveal trend behavior.

Simple Moving Average

An SMA is the average closing price over a chosen number of periods.

- 20-day SMA: short-term trend and pullback reference.
- 50-day SMA: intermediate trend often watched by swing traders.
- 200-day SMA: major long-term trend line on daily charts.
- 40-week or 50-week SMA: long-term trend filter on weekly charts.



How to Use SMA Without Overusing It

The slope and price location matter more than tiny crossovers.

Bullish context: price above a rising major SMA.

- Caution context: price below a falling major SMA.
- Pullbacks to a rising SMA can be buy zones only if the trend remains intact.
- Moving averages lag. They confirm trend more than they predict reversals.
-

Common SMA Signals

Signals are useful only with context.

Golden cross: shorter average crosses above longer average.

- Death cross: shorter average crosses below longer average.
- Moving average stack: short above medium above long can show strong trend.
- Flat averages often mean chop; reduce expectations in sideways markets.
-

INDICATORS

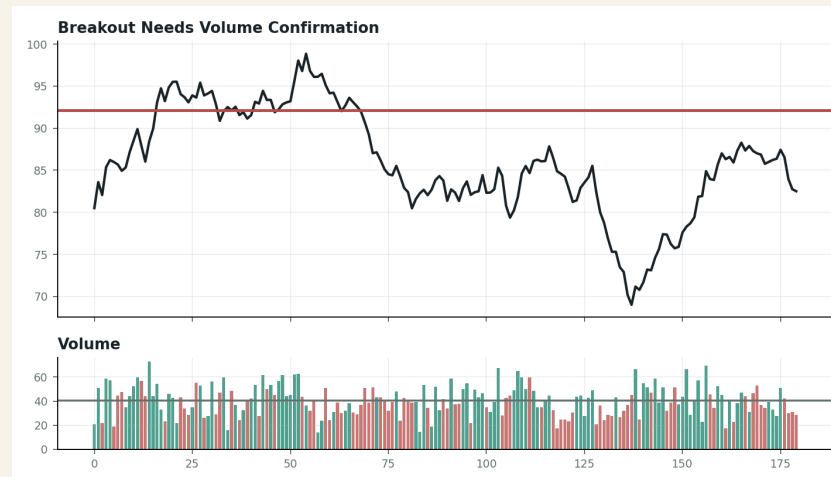
Part 4: Volume and Momentum

Indicators should answer a question, not decorate a chart.

Volume Confirmation

Volume asks whether a move has participation.

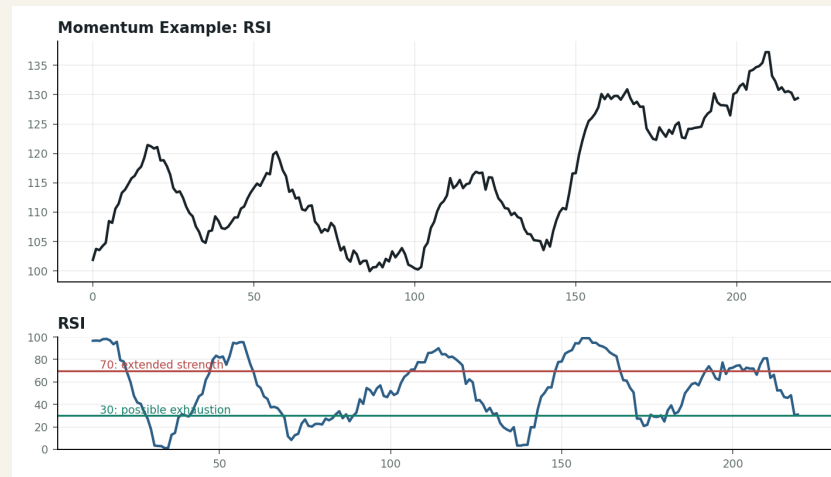
- Breakouts are more credible when volume is above average.
- Low-volume breakouts are more vulnerable to failure.
- Rising price with falling volume may show weakening demand.
- High-volume selloffs near support can warn that institutions are exiting.



RSI: Relative Strength Index

RSI measures momentum, not value.

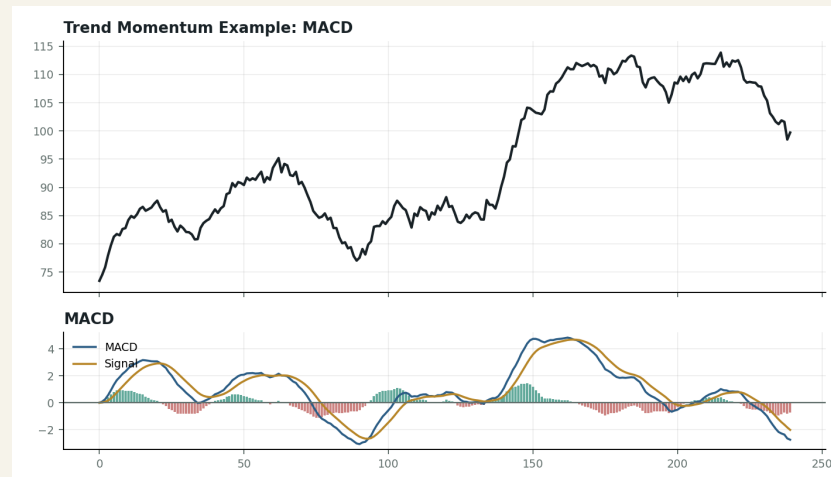
- Above 70 can mean strong momentum, not automatically a short signal.
- Below 30 can mean weakness or possible exhaustion, not automatically a buy.
- Bullish divergence: price makes a lower low while RSI makes a higher low.
- Use RSI with trend and levels, not by itself.



MACD

MACD compares faster and slower moving averages.

- MACD above zero often supports bullish trend momentum.
- MACD below zero often supports bearish trend momentum.
- Signal-line crosses can be late, so use them as confirmation.
- The histogram shows whether momentum is strengthening or weakening.



Indicator Rules

Avoid indicator overload.

One trend tool

Example: 50-day or 40-week SMA.

One level tool

Support, resistance, or anchored VWAP.

One volume tool

Volume vs. average volume.

One momentum tool

RSI or MACD, not five versions.

One risk rule

Stop and position size before entry.

One journal

Track what worked, failed, and why.

WORKFLOW

Part 5: Long-Term Trend Workflow

A repeatable chart routine for yearly and weekly analysis.

Long-Term Trend Routine

Do this once a week for watchlist names.

1. Start with the yearly/monthly chart: uptrend, downtrend, or range?
- 2. Move to weekly: is price above a rising 40-week or 50-week SMA?
- 3. Mark major weekly support/resistance and prior breakout areas.
- 4. Check relative strength versus the market or sector.
- 5. Only then use the daily chart for entry and stop placement.
-

Weekly Trend Grades

A simple scoring system keeps emotions lower.

A: price above rising 40-week SMA, higher highs/lows, strong relative strength.

- B: price above SMA but extended, choppy, or near resistance.
- C: sideways range with unclear SMA slope.
- D: price below falling SMA or making lower lows.
- Rule: prefer A/B for long ideas; avoid forcing trades in C/D.
-

Entry Planning from the Daily Chart

Daily charts are for timing, not deciding the whole thesis.

Buy near support only if the weekly trend remains healthy.

- For breakouts, require a close above resistance and volume confirmation.
- Place the stop where the setup is invalid, not where the loss feels comfortable.
- If the stop is too far away, reduce position size or skip the trade.
-

Long-Term Trend Checklist

Use this before buying or adding.

Yearly

Higher highs/lows across cycles?

Weekly SMA

Above a rising 40/50-week average?

Support

Nearest logical support level?

Resistance

Nearest overhead supply?

Volume

Accumulation or distribution signs?

Plan

Entry, stop, target, review date?

PRACTICE

Part 6: Practice

The best chart education is repeated, written, and reviewed.

Practice 1: Mark a Weekly Chart

Use a real charting site or paper chart after the lesson.

Pick one large, liquid stock or ETF.

- Switch to weekly candles and add a 40-week or 50-week SMA.
- Mark three support zones and three resistance zones.
- Write whether trend is A, B, C, or D and explain why.
-

Practice 2: Compare Timeframes

The goal is to see how context changes interpretation.

On the yearly/monthly chart, describe the major trend.

- On the weekly chart, identify the current setup.
- On the daily chart, identify a possible entry and invalidation level.
- If the timeframes disagree, write what evidence would create clarity.
-

Practice 3: Indicator Discipline

Use fewer tools and explain them better.

Create one chart with SMA, volume, and RSI only.

- For each indicator, write one sentence explaining what it says.
- Remove any indicator that does not change the decision.
- Save a screenshot before the trade and review it afterward.
-

Common Beginner Mistakes

Most chart mistakes are behavior mistakes wearing technical clothing.

Drawing too many lines until every price looks important.

- Buying just because RSI is low while the trend is still broken.
- Chasing a breakout far above the breakout level.
- Ignoring earnings dates, market trend, or sector weakness.
- Moving stops lower because the trader does not want to be wrong.
-

Final Rule Set

A simple technical-analysis rule book.

Trade in the direction of the higher-timeframe trend whenever possible.

- Buy near support or on confirmed breakouts, not in the middle of nowhere.
- Use moving averages as context, not magic signals.
- Require volume or momentum confirmation for important moves.
- Know the exit before the entry.
-